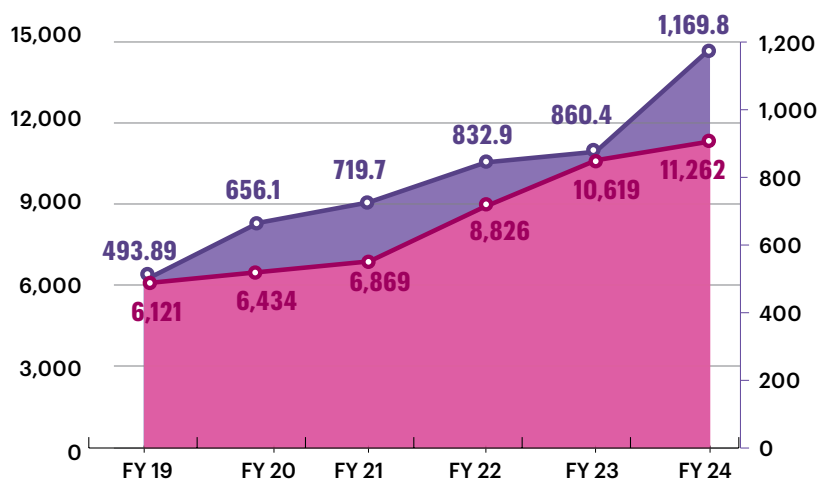


A BRIGHT FUTURE

- Net profit has more than doubled since FY19
- Revenue up 75% since pre-Covid year



NOTE ALL FIGURES IN ₹ CRORE **SOURCE** ACE EQUITY

— TOTAL INCOME — NET PROFIT [RHS]

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unusual decision at the time.

Roy, who joined the company in 1996 as a product manager, before assuming the top job in mid-2012, says for a long time the strategy was to “copy Asian Paints” and sell the product at a lower price. “It meant lower EBITDA margins without any scale. It was necessary to do that to penetrate the market.” It was time to change a lot of things.

The launch of Easy Clean (stain-free paint) in 2010-11 and its success convinced the company about its ability to innovate. One of the most important decisions, on the advice of management guru Gurcharan Das, was having brand names connoting the product benefit. “We now have simple names for our products. For example, Bison (an emulsion brand) conveys toughness,” says Roy. In the past, brand names were exotic, such

as Berger Vinyl or Berger Luxol. The suggestion was simple—if it was about durability, just call it long life. The process of naming is a lot more straightforward now. That was in 2009-10. “Today, our advertising money is spent more effectively. At 2-3% of sales (in fast moving consumer goods, it is around 8%), it gives us more bang for the buck,” he says.

Obviously, a sharper focus on the brand name has worked in tandem with other things such as innovation and staff training. The journey since 1991 can be broken into two parts—carving out a clear identity in paints and then venturing into adjacencies.

According to Roy, the waterproofing and chemicals arms work with the existing paints team. “In that sense, there is no big investment, and it has worked out well,” he says. Around 10% of Berger’s revenue

comes from this (from low single digits five years ago). The Nirmal Bang report says it “can be around 20% in a few years” and talks about how the space has been seeing serious innovations. “The company is not looking at entering the repair side of construction chemicals,” it adds. Parameswaran of *brand-building.com* says a paint company entering related building materials can tap its existing distribution and user base. “Technology in these businesses is not complicated and is often available off the shelf,” he says.

In paints, companies have stronghold regions or cities. “Luckily, for construction and waterproofing, a significant portion goes through projects. That means we can go into the West or South, where we are not big in paints,” says Roy. This also gives the company a good reason to work on its distribution in weak areas. “There is a separate team for urban markets where we are not big.” The objective is to increase the stickiness for the Berger brand.

The next obvious step would be premiumisation. Roy says Indians are painting their houses more often. “The quality of the paints has improved. They also last longer. Premiumisation alone is not enough. There should be a perceptible consumer benefit, which has not been addressed,” he says. Parameswaran says painting is one part of the overall costs; in fact, labour and other associated costs could be higher. The emergence of a more aware consumer with high disposable income could change a lot of industry dynamics. There is a compelling reason to do simple things complemented by high-quality execution. Berger Paints wants to do just that over the next hundred years. **BT**

@krishnagopalan